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BEYOND BORROWING

LAND VALUE CAPTURE FOR HO CHI MINH CITY

POLICY BRIEF
CPLN 5770

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Policy Brief for the Ho Chi Minh City People's Committee
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Executive Summary

Ho Chi Minh City (HCMC) stands at a precarious intersection of rapid economic growth and existential climate risk. Recognized as one of the world's top 10 cities most vulnerable to climate change, HCMC faces rising sea levels combining with land subsidence sinking the city at 2-4 cm annually (World Bank, 2022). While global urban climate finance needs have surged to nearly USD 4.3 trillion annually, HCMC's specific needs for flood defenses and green transport exceed USD 50 billion over the next decade (CCFLA, 2024). Current funding mechanisms, reliant on volatile land-use fees and constrained ODA, remain critically insufficient (JICA, 2023).

This investment deficit is exacerbated by a global fiscal architecture where private landowners reap untaxed profits from public infrastructure, while the public sector bears the debt (UN-Habitat, 2016). Without structural reform, HCMC faces issues with creditworthiness, unable to access finance for climate adaption infrastructure such as drainage systems needed to prevent permanent inundation (UNU-IAS, 2023).

This brief argues that Land Value Capture (LVC) represents the most vital financial instrument available to HCMC under the new autonomy of Resolution 98 (Corporate Counsels, 2024). By implementing Resilience-Linked Betterment Levies, HCMC can recover public value to fund climate infrastructure. As demonstrated by the success of property tax reforms in Freetown, Sierra Leone, LVC offers a unique advantage. It allows cities with limited technical capacity to leapfrog traditional barriers, using simplified valuation to secure revenue while modernizing administration (CCFLA, 2025; Kamara, 2021).

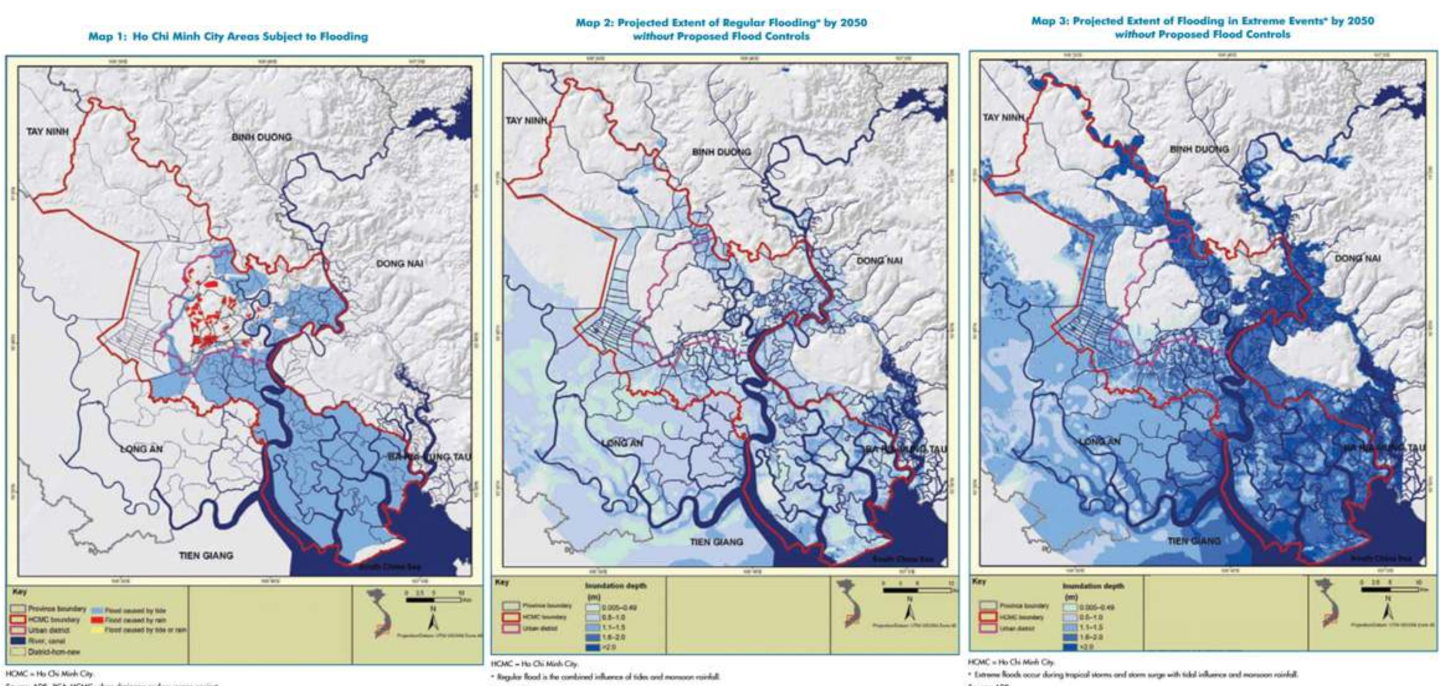

Figure 1: Projected Land Loss in HCMC (2025 vs. 2050) due to compound flooding and subsidence. (ADB, 2010)

I. Why HCMC Can't Borrow Its Way to Resilience

Ho Chi Minh City stands at a precarious crossroads. It is the nation's economic powerhouse, yet it is physically sinking as sea levels begin to rise. While the recent Resolution 98 grants the city legal autonomy to act, its financial toolkit remains dangerously outdated. To secure its survival, HCMC must move beyond the volatility of one-off land fees and limited loans. The path forward requires capturing the long-term value created by the city's own growth.

Investment Gap

The investment gap poses an immediate existential threat. Globally, cities require USD 4.3 trillion annually for climate mitigation yet receive less than 10% of climate finance (CCFLA, 2024). Regionally, adaptation finance in East Asia and the Pacific is overwhelmingly dominated by international sources, with less than USD 0.1 billion sourced domestically (CCFLA, 2024). This imbalance highlights a critical need for HCMC to build up institutional capacity to access these international funds while strengthening its own domestic revenue base. The World Bank estimates Vietnam loses 3.2% of GDP annually to climate impacts, with HCMC bearing the brunt (World Bank, 2022). While it is Vietnam's economic engine, contributing roughly 27% to the national budget, its fiscal autonomy has historically been constrained (Viet Nam News, 2025). Crucially, HCMC faces severe borrowing capacity limits. International lenders typically require sovereign, creating a bottleneck where HCMC cannot directly access global capital markets. Without a transparent, recurring revenue stream, the city cannot prove to global markets that it has the long-term cash flow to service the debt needed for major climate projects (UNU-IAS, 2023).

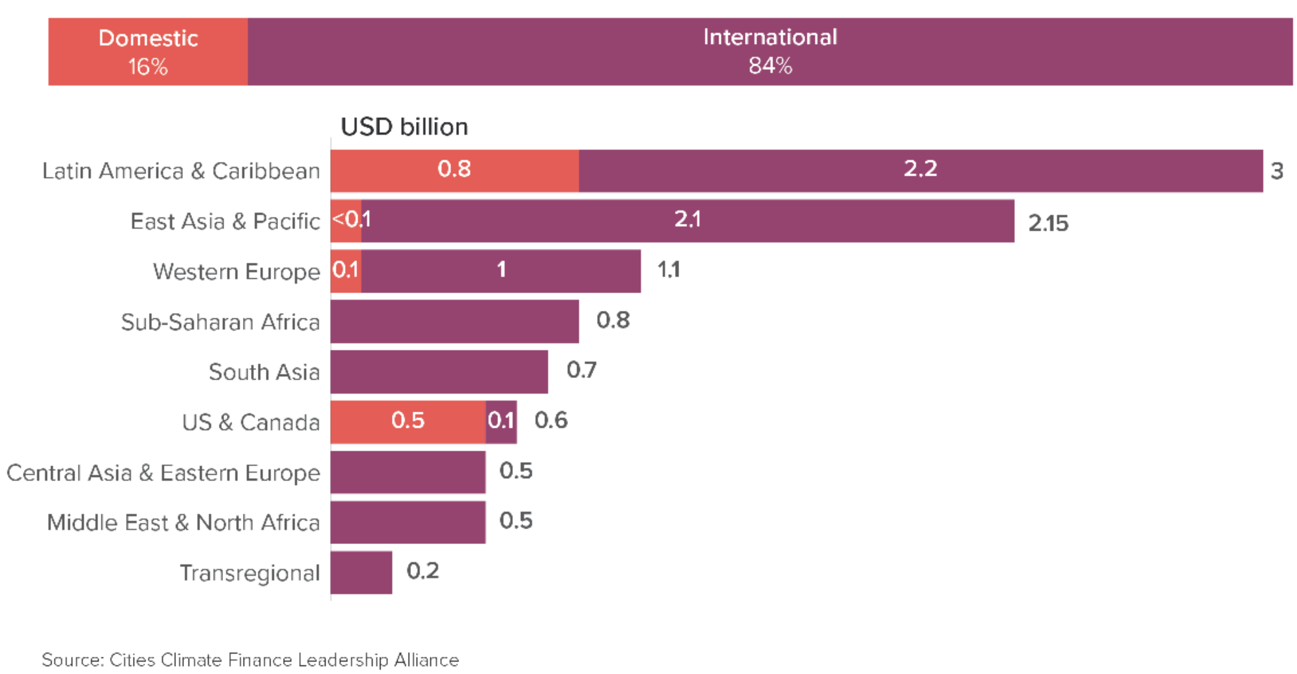

Figure 2: Urban adaption finance flows by region 2021/2022, USD billion (CCFLA, 2024)

Systemic Barrier to Municipal Finances

The underlying issue preventing HCMC from meeting this demand is a rigid financial mechanism that has historically limited the city's budget retention, restricting its ability to retain and reinvest its own revenue (Ngo, 2024). This structural flaw is most evident in the city's reliance on volatile Own Source Revenue (OSR), which depends heavily on one-off land use fees (tien su dung dat) derived from land conversion. As noted by Nguyen (2017), this dependence on a finite asset class creates an unsustainable revenue model that cannot support long-term climate adaptation.

Furthermore, the city has struggled to replace the "Build-Transfer" model, which historically allowed HCMC to exchange public land for infrastructure. This mechanism often resulted in massive losses of public value due to the undervaluation of the land transferred to private developers. While the 2020 PPP Law restricted these exchanges to prevent further loss, the city still lacks a viable replacement mechanism to capture value effectively (Nguyen, 2017; Rosengarten, 2020).

Compounding these revenue challenges is a pattern of misdirected expenditures. Consistent with global trends where transport funding disproportionately favors private vehicles, current spending in HCMC often prioritizes road expansion (CCFLA, 2024; Kokalari & Thai, 2025). This investment strategy neglects the drainage-integrated public transit systems that are critical for a sinking delta city, further exacerbating the disconnect between financial planning and climate reality.

II. Why LVC is Superior to Alternative Financing Option

While HCMC has options such as increasing Official Development Assistance (ODA), issuing general bonds, or selling public land, LVC (specifically Betterment Levies) is the superior instrument for climate resilience for four specific reasons.

First, unlike ODA, which is finite, slow to mobilize, and creates foreign currency debt, LVC generates domestic revenue that is sustainable and indefinitely recurring. Furthermore, ODA is often tied to specific donor interests or technologies which may not align perfectly with local needs. LVC reduces reliance on external actors and protects the city from currency fluctuation risks.

Second, LVC avoids the political pitfalls of raising general property taxes. General property taxes are often considered a "blunt instrument" that penalizes all citizens regardless of benefit, making them politically explosive to implement. In contrast, LVC is targeted and fair based on the "Beneficiary Pays Principle," ensuring that only those who directly benefit from state improvements contribute to the cost.

Thirdly, LVC offers a more sustainable long-term model compared to the sale of public land or "Build-Transfer" schemes. Historically, HCMC has relied on selling land as a "one-shot" revenue source; once the land is sold, the asset is gone. LVC captures value continuously over time, creating a fiscal feedback loop where every new infrastructure project funds the next one.

Finally, LVC serves as a critical catalyst for institutional capacity building, which in turn unlocks broader access to public financing. The systematic failure of many cities to attract large-scale climate investment is often attributed to deficient institutional capacity and poor financial management (UNU-IAS, 2023). Successfully implementing LVC policies, particularly complex instruments like betterment levies, demands significant technical rigor. This includes maintaining a robust cadastre, conducting precise land valuation, and upholding strict fiduciary management (FHA, 2025). Therefore, the administrative process required to adopt LVC effectively mandates internal governance and technical improvements. A city's demonstrated success in deploying LVC, evidenced by the consistent and transparent collection of dedicated revenue, serves as an objective, measurable signal of strengthened institutional capacity and robust financial governance. This proven capacity directly addresses the primary barrier identified by global financial stakeholders and enables cities to unlock broader access to global climate funds and partnerships (CCFLA, 2025). The integration of stronger OSR instruments, such as LVC, allows for better asset valuation and provides a larger financial buffer, critical for enabling additional borrowing and investment (CCFLA, 2023).

III. Overview of Research

Current research views LVC not merely as a plug for budget deficits, but as a mechanism to modernize municipal finance. It alights with the 'Beneficiary Pays Principle' (Ives & Hall, 2024) to fortify municipal fiscal health and enhance the economic viability of climate-resilient infrastructure. By concentrating on the municipal scale, this analysis examines how the deployment of LVC instruments contributes to substantial institutional capacity building. Furthermore, these mechanisms serve to catalyze private sector collaboration, thereby accelerating the realization of critical climate projects.

Case Study: Freetown's "Points-Based" LVC Reform

HCMC can look to the successes of Freetown, Sierra Leone, to understand how LVC can be implemented even in environments with data constraints and informal settlements. Freetown faced rapid urbanization and a severe lack of revenue, with an outdated cadastre that missed thousands of properties. Mayor Yvonne Aki-Sawyerr implemented a simplified "Points-Based System" for property taxation (Kamara, 2021)

Instead of waiting for a perfect market valuation of every home, which takes decades, they used satellite imagery and simple criteria, such as location, roof material, and number of floors, to assign a value proxy. By digitizing the property database and simplifying the tax code, Freetown increased its tax revenue potential by five-fold within two years (Kamara, 2021).

Freetown's success proves that HCMC does not need to wait for a perfect market-value land registry. By using proxy indicators, such as proximity to the new Metro Line 1, HCMC can implement “Resilience Levy” immediately using existing GIS data. This approach allows the city to leapfrog traditional administrative barriers (Kamara, 2021).

IV. Policy Recommendation: Institutionalizing Resilience-Linked Betterment Levies

To bridge the financing gap, this brief recommends that HCMC pilot Resilience-Linked Betterment Levies under the authority of Resolution 98. When HCMC builds a tidal gate which prevents Thu Duc from flooding, property values in those protected areas are preserved or increased. Currently, this acts as a free subsidy to landowners, creating a “windfall” profit (Lincoln Institute, 2024). A levy recaptures a fraction of this, acting as a “Resilience Dividend” to pay for the climate infrastructure.

Beyond immediate revenue, implementing this levy drives institutional capacity building and technical modernization. To collect the levy effectively, the Department of Natural Resources and Environment (DONRE) must upgrade GIS capabilities, creating a cycle of financial transparency that reduces the opacity deterring international investors. Successfully administering this instrument signals institutional maturity and fiscal discipline to global investors (ITFFD, 2024). This predictable revenue stream serves as soft collateral that helps HCMC move beyond the “creditworthiness trap,” eventually unlocking the climate financing from multilateral development banks and Green Bonds the city currently struggles to access (CCFLA, 2025).

V. Conclusion

Ho Chi Minh City cannot afford to wait for central government transfers to save it from sinking. The current model, reliant on ODA and opaque land exchanges, is insufficient for the multi-billion-dollar climate challenge ahead.

By learning from models like Freetown and operationalizing the ‘Beneficiary Pays Principle’ through Resilience-Linked Betterment Levies, HCMC can transform passive land wealth into active public capital. Implementing Resilience-Linked Betterment Levies also does more than balance a budget. It strengthens institutional capacity and signals creditworthiness to global markets. This approach leverages the specific autonomy of Resolution 98 to not only balance the budget but to secure the physical survival of Vietnam’s economic hub.

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